



Adobe – Topaz Labs

MN-30028

Phase 1 Determination

Acquisition may be put into effect

8 September 2026

1. Determination and statement of reasons

Notified acquisition	Adobe Inc. (Adobe)’s proposed acquisition of 100% of the share capital in Topaz Labs Inc. (Topaz Labs).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Adobe, is a global technology company that supplies creativity and productivity software and business intelligence services, including digital marketing and document management tools. Adobe supplies image and video generation and editing software, through products such as Firefly, Photoshop, Lightroom and Premiere Pro. The target, Topaz Labs, supplies artificial intelligence-based photo and video enhancement software. The software has functions such as upscaling, image sharpening, video frame interpolation, denoising and image restoration. The software is typically accessed via desktop applications, cloud and application programming interfaces.
Overlap between the Parties	Adobe and Topaz Labs overlap in the supply of photo and video editing and enhancement software. Topaz Labs’ photo and video enhancement software integrates with and is offered through Adobe’s photo and video editing software.
Reasons for determination	When making a determination in Phase 1, the Australian Competition and Consumer Commission (ACCC) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC’s approach to considering notified acquisitions, see the ACCC’s merger assessment guidelines and interim merger process guidelines. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form, information from third parties and publicly available information. The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition is unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings. • The merged firm would continue to face competition from alternative suppliers of photo and video enhancement software. • Post-Acquisition, Adobe would not have the ability and incentive to foreclose alternative suppliers of AI-based image and video enhancement software given the multiple ways customers can access such software.

Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.
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Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act